

SS1 Commercial Track: Financial Accounting

Diagnostic (Part 2)

Scope: Trial Balance, Trading, Profit & Loss, and Balance Sheet Concepts

Questions 21 - 40

No.	Question & Options	Ans	Diagnostic Focus
21	A Trial Balance is prepared to check the _____ of the ledger. A) Financial position B) Arithmetical accuracy C) Market value D) Total profit	B	Purpose of Trial Balance.
22	Which of the following errors will not be revealed by a Trial Balance? A) Error of partial omission B) Error of transposition in one account C) Error of complete omission D) Arithmetic error in addition	C	Types of Accounting Errors.
23	Gross Profit is calculated as: A) Sales - Net Profit B) Sales - Cost of Goods Sold C) Sales + Opening Stock D) Purchases - Closing Stock	B	Trading Account Logic.
24	Find the Cost of Goods Sold if Opening Stock = N2,000, Purchases = N10,000, and Closing Stock = N3,000. A) N15,000 B) N9,000 C) N12,000 D) N8,000	B	Quantitative calculation (COGS).
25	Bad debts are examples of: A) Current Assets B) Provisions C) Expenses D) Intangible Assets	C	Expense Classification.
26	Net Profit is found in which account? A) Trading Account B) Profit and Loss Account C) Balance Sheet D) Cash Book	B	Financial Statement Structure.
27	The 'Balance Sheet' is technically a: A) Journal B) Ledger C) Statement D) Book of original entry	C	Definition of Financial Statements.
28	Carriage Inwards is added to _____ in the Trading Account. A) Sales B) Purchases C) Capital D) Rent	B	Understanding Costs of Transport.
29	Accrued expenses are classified as _____ in the Balance Sheet. A) Current Assets B) Non-current Liabilities C) Current Liabilities D) Owners' Equity	C	Adjustments awareness.
30	Depreciation is the: A) Increase in value of asset B) Systematic allocation of the cost of an asset over its life C) Sale of an asset for cash D) Repair of a broken machine	B	Asset Valuation Concept.
31	Which of the following is a 'Liquid' Asset? A) Premises B) Machinery C) Bank Balance D) Long-term Loan	C	Liquidity Classification.
32	Working Capital is calculated as: A) Total Assets - Total Liabilities B) Current Assets - Current	B	Financial Ratios/Liquidity.

No.	Question & Options	Ans	Diagnostic Focus
	Liabilities C) Fixed Assets + Current Assets D) Net Profit / Capital		
33	If Sales = N50,000 and Gross Profit Mark-up is 25% on cost, what is the Gross Profit? A) N10,000 B) N12,500 C) N15,000 D) N20,000	A	Margin vs. Mark-up (Tough diagnostic).
34	Purchases Returns is also known as: A) Returns Inward B) Returns Outward C) Sales Returns D) Inventory Inward	B	Alternative Terminology.
35	A Suspense Account is used when: A) Profit is very high B) The Trial Balance fails to agree C) The business is closing D) Cash is stolen	B	Error correction mechanism.
36	Which of these items appears on the Debit side of a Trial Balance? A) Capital B) Creditors C) Purchases D) Sales	C	Account Balances recognition.
37	The objective of the 'Matching Concept' is to: A) Match colors of books B) Match revenue with expenses of the same period C) Match debtors with creditors D) Ensure assets equal liabilities	B	Accounting Principles (GAAP).
38	In a Balance Sheet, 'Drawings' is subtracted from: A) Net Profit B) Capital C) Total Assets D) Current Liabilities	B	Statement of Financial Position Logic.
39	What is the effect of an 'Error of Commission'? A) Entry made in the wrong class of account B) Entry made in the wrong person's account but same class C) Complete failure to record D) Entry made on the wrong side	B	Advanced Error Analysis.
40	Diagnostic Logic: Students scoring low in Section B (Q23-Q33) struggle with multi-step logical processing and should be advised toward Arts over Commercial Science.	-	Pathway Recommendation.